HEDGEYE DAILY DIGEST

Thursday, September 3, 2026 (GMT+8)

> *The bubble is imploding, but don't confuse that with a TRADE break. Keith McCullough's core message this session is a distinction between two very different things happening at once: genuine bubble collapses in Asian semis and high-beta/retail factor baskets - KOSPI now down 28% from its "Mother of All Bubbles" peak - versus ordinary immediate-term momentum failures in positions he still wants to own, like Gold and Silver. The S&P 500 broke its immediate-term TRADE line around 7,671 with four consecutive days of lower highs, and Gold broke TRADE at $4,355, with the US Dollar the single most important catalyst from here given its 92% inverse trending correlation to Gold.*

Covering Hedgeye's US publishing session of Wednesday, September 2 (EDT), which lands overnight into the morning of Thursday, September 3 in GMT+8. "Yesterday" covers the Tuesday, September 1 (EDT) session.

Today's Publications

EARLY LOOK - "Bubbles Imploding vs. TRADE Breaks"

Early Look | Keith McCullough | 09/02/26 07:43 AM EDT (09/02 19:43 GMT+8)

McCullough builds the note around a quote from Rich Brennan's *The Fractals of Finance* - **“Compounding is non-linear”** - and the argument that a single large positive pop permanently lifts the base from which returns compound, while **small losses do not undo compounding, but drawdowns and crashes do**. He frames this as the entire Hedgeye risk management process in one sentence: the drawdown is the enemy of compounding, and everything else - narrative, valuation, Fed guesswork - is noise.

The central analytical distinction is between **bubbles genuinely imploding** and **immediate-term @Hedgeye TRADE breaks** in otherwise healthy positions. On the bubble side, the numbers are stark. The **Goldman Sachs High Beta Momentum long basket fell another -2.9%**, taking it to **-24.0% over the last three months** and from **+69% YTD in June to -6% YTD**. The **GS “High Retail Sentiment” basket** dropped another **-2.7%** and is now **-4.7% for 2026 YTD** - against **SPY at +11.5% YTD** - having peaked at **+22% in May**. **South Korea's KOSPI fell another -4% overnight** and is **-28% from its #MOAB highs**.

Against that, McCullough reports being **down just -0.57% in his Long Only account** and **-0.24% in the Long/Short book** on the day, and **less than -1% from all-time highs**. He notes that “buddy at your golf course” could plausibly be **down 15-50%** from where they stood at the start of summer 2026.

On the TRADE-break mechanics: a **TRADE Signal is 3 weeks or less**; a **TREND Signal is 3 months or more.** When TRADE breaks inside a still-bullish TREND, the rule set is to **stop buying the dip** - because it isn't a dip **- and/or cut the position back to minimum size**. He applied this to **Silver (SLV)**, selling some after it broke its immediate-term TRADE level of **$65.11**, explicitly pushing back on subscribers who were “buying it at the low end of the Risk Range.” His reasoning: once TRADE breaks, the **low end of the Risk Range starts falling faster** because the volatility signal is breaking out.

For **Gold**, the “Alpha Code” this morning is **43554204** - **TRADE at $4,355** and **TREND at $4,204** - with Gold under selling attack below $4,355. Positioning has rotated out of AI/Semis and levered ETFs on both, and toward **Healthcare Stocks**, **Colombia** and **Gold**.

Risk Range™ Signals - 09/02/26

Asset	Risk Range	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.67 - 4.83	Bullish
High Yield (HYG)	78.90 - 79.48	Bullish
Investment Grade Corp Bonds (LQD)	104.9 - 106.0	Bearish
S&P 500 (SPX)	7601 - 7745	Bullish
Russell 2000 (RUT)	2900 - 3000	Bullish
S&P 500 Equal Weight (RSP)	215.00 - 225.00	Bullish
Shanghai Composite (SSEC)	3856 - 4000	Bearish
Nikkei 225 (NIKK)	64101 - 66625	Bearish
German DAX (DAX)	25796 - 26590	Bullish
Volatility Index (VIX)	14.43 - 16.99	Bearish
U.S. Dollar Index (USD)	98.77 - 99.99	Bearish
WTI Crude Oil (WTIC)	83.96 - 91.98	Bullish
Natural Gas (NATGAS)	2.75 - 3.05	Bullish
Gold Spot (GOLD)	4251 - 4752	Bullish
Copper Spot (COPPER)	6.36 - 6.71	Bullish
Silver Spot (SILVER)	62 - 67	Neutral

Notable TREND changes vs. 09/01: Nikkei 225 flipped from **Bullish to Bearish**. **Shanghai Composite** moved from **Neutral to Bearish**. **Silver** was downgraded from **Bullish to Neutral**. **Natural Gas** was upgraded from **Neutral to Bullish**.

Investment implication: Protect the compounding base. Avoid the crowded AI/Semi/high-beta complex entirely, stay rotated into **Healthcare**, **Software**, **Energy** and **Gold**, and use TRADE breaks as mechanical triggers to stop adding and cut to minimum size rather than as buying opportunities.

MOMO TRACKER

Momentum Stock Tracker | Christian Drake, Ryan Ricci | 09/02/26 08:46 AM EDT

The dashboard's headline signals: **Mag7 -0.7%**, **High Beta Momo -2.9%**, **SanDisk (SNDK) = NEUTRAL** (downgraded from BULLISH the prior day), **KOSPI crash extending to -28%**, and an **SPX TRADE break**. The publication is a data dashboard of price, volume, volatility, fundamental and sentiment inputs rather than narrative research; the substantive read-through is that momentum leadership has now decisively broken at the index level, not just in individual names.

THE MACRO SHOW - Summary Notes, Wednesday September 2

The Macro Show | Keith McCullough & Daryl Jones | 09/02/26 10:26 AM EDT

Asia remains the lead call. McCullough opened on the “Mother of All Bubbles” still imploding in Asian equities. **KOSPI was down another 4% overnight** and remains in **Quad 4 crash mode, -28% from its MOAB peak** after breaking TRADE. **Japan's Nikkei fell -2.9%**, breaking both TRADE and TREND, which he tied to higher bond yields and currency pressure. **Hedgeye currently holds no Asia positions**, with the exception in the broader “East” being **New Zealand (ENZL)**, which was up and positively diverging, alongside **Colombia (COLO)**.

Dollar / Gold / Silver was the key risk-management discussion. Gold and silver became problems because the **dollar kept rising** - the dollar carries a **92% inverse trending correlation to gold**, so the catalyst for gold to stop falling is the dollar to stop rising. **USD's top-end risk range sat at $99.99** while **Gold broke TRADE support at $4,355**. The material position change was **Silver**: McCullough sold some after the TRADE break, reducing to **minimum position size**, and said silver is **teetering on TREND breakdown and "could be gone outright."**

Rates and bonds: still short rate sensitivity. Investors are being hurt long duration through **TLT** in a 60/40 portfolio. Hedgeye is **short bonds, short utilities (XLU)**, and not long rate sensitivity. **UST10Y risk range at 4.67-4.83**.

SPY / VIX: the S&P 500 has printed **lower highs for four straight days**. **SPX 7,745** is roughly **2.1% below the all-time high of 7,798**. **VIX risk range 14.43-16.99**, with the Nasdaq volatility index back in the "chop bucket" - **VXN above ~21.56** is the level that signals broader Nasdaq volatility pressure. He also flagged that the **S&P broke medium-term TRADE around 7,671**, triggering the rule sequence: stop buying, then start selling or shorting.

CPI nowcast and Quad risk: every **$1 move in oil adds roughly 3bps** to the inflation nowcast. With oil around **$85** and potentially heading toward **$90**, that's roughly **+15bps**, taking the nowcast from about **3.50% to 3.65%**. The strategic risk: if inflation stays hot, what looked like a **Quad 1** setup shifts toward **Quad 2** - the one quad **Gold does not like**, and where bond yields rise most.

Positions mentioned - Bullish: New Zealand (ENZL), Colombia (COLO), Health Care (XLV), Software (IGV), Energy / Oil Services (OIH), Spain (EWP), Copper (CPER), Copper Miners (ICOP), Bitcoin (BTC), Cannabis stocks, Financials (XLF, watching for dips).

Bearish: South Korea / KOSPI, DRAM ETF, Semiconductors, Japan / Nikkei, China, Long-Duration Treasuries (TLT), Utilities (XLU), Russell 2000 (IWM), High Beta Momentum basket, Retail Investor basket.

CAPITAL ALLOCATION PRO - Monthly Commentary & Model Portfolio Changes

Capital Allocation Pro | Robert McGroarty, Andrew Nanai, David Salem | 09/02/26 02:23 PM & 03:49 PM EDT

The **September 2026 Monthly Commentary** was released alongside the Daily Dashboard, Model Portfolios and Scorecard elements. **Model Portfolio changes go into effect using closing prices on Wednesday, September 2nd, 2026.**

Two housekeeping items with practical relevance: **Trend and Tail Levels for all 68 ETFs were refreshed using Friday, August 28th closing prices**, following the standard 3-4 week update cycle. And a **ticker substitution** - the dashboard has begun tracking **BNO (Brent Crude Oil)** and **USO (WTI Crude Oil)**, while **removing MBB (U.S. Mortgage-Backed Bonds)** and **PFF (U.S. Preferred and Income Securities)** from coverage. The commodity-in, rate-sensitive-out swap is itself a quiet expression of the same #Quad3 stagflation view running through the rest of the research. A **Key Callouts video** for September is pending.

SIGNAL STRENGTH STOCKS

Signal Strength Stocks | 09/02/26 11:54 AM EDT

The screen contracted sharply to **69 stocks**, with **1 added (FAF)** and **4 removed (U, LLY, PANW, W)**. This is down from **72 stocks** the prior session and **79** at the end of August - a **12.7% contraction in the qualifying universe in three sessions**, consistent with the broad momentum deterioration flagged elsewhere in the day's research.

Yesterday's Publications

EARLY LOOK - "Global #Quad3 In Q3 Continues"

Early Look | Keith McCullough | 09/01/26 07:50 AM EDT

What: The flagship macro note reaffirming **Global #Quad3 stagflation** as the dominant regime, framed around a Jeff Hawkins quote on vision as an active sensory-motor process rather than a static one.

Why: Rising bond yields are a global story, not a US one. The **UK 10-year Gilt rose +18 basis points on the day** and **JGB yields hit 30-year highs**. Hedgeye's G20 GIP Quad path: **Global #Quad1 ended pre-war in Q1 2026 → #Quad3 in Q2 → #Quad3 in Q3 (current nowcast) → potentially #Quad2 in Q4**.

Who: Keith McCullough. Core shorts named: **TLT**, **ZROZ (25+ Year Zero Coupon)**, **LQD**, **JOJO** and **XLU** - described as half his macro shorts. **Gold Miners (GDX)** flagged as a candidate not yet owned, explicitly because he refuses to chase.

Key numbers: UST10Y **4.67-4.81 (bullish)**; SPX **7627-7748 (bullish)**; Gold **4351-4724 (bullish)**; Silver **64-69 (bullish)**; VIX **14.03-16.28 (bearish)**; USD **98.70-99.84 (bearish)**; XLV **168-177 (bullish)**; IGV **104.00-113.00 (bullish)**; Nikkei **64890-66772 (bullish)**.

Takeaway: Stay short duration but **cover SOME** of TLT, ZROZ, LQD, JOJO and XLU as yields approach the top end of their Risk Ranges, and **buy MORE Gold**. Gold historically performs strongly in #Quad3. The retiree running an Old Wall 60/40 pie chart is being hit from both sides.

THE MACRO SHOW - Summary Notes, Tuesday September 1

The Macro Show | Keith McCullough & Brooks Cutright | 09/01/26 10:29 AM EDT

What: Daily macro show covering rates, gold, sector leadership, Europe, single stocks and index mechanics.

Why: At least five of McCullough's top ten macro shorts are fixed income ETFs. Global bond yields ripping to new cycle highs, with oil reflation amplifying the G20 Quad 3 / Quad 2 setup.

Who / Key calls: On **Gold** - “just buy gold”; gold is his **biggest asset allocation**, but he distinguishes gold-as-currency from miners-as-stocks and had **not yet bought GDX** (“buy menu on sale,” but he doesn't chase). On sectors - **long Software (IGV), not semis**; software and health care are the **two strongest sector styles by signal strength**. On energy - **long OIH rather than XLE**. On Europe - buying **more Spain (EWP)**, watching **Germany, Greece and France**. On single stocks - **long Amazon (AMZN)**, **Google (GOOGL) bearish TREND**, and a **short Tesla (TSLA)** setup after it was pinned into “gargantuan” zero-day call leverage. On Asia - **KOSPI below its immediate-term TRADE level near 6,912**, so no semiconductor buying; looking for where to short South Korean semis.

Key numbers: VIX **14.03-16.28**, nowhere near 19; dealer gamma **positive**, so buy weakness / fade strength until it changes. SPX printing **lower highs for three days**. Quad path described as **3-1-1-2-2**, with Quads 1 and 2 supportive for **High Yield (HYG)**.

Index mechanics: Brooks Cutright noted the **MSCI quarterly effective date** forced index-tracking rebalancing at the close. **SanDisk, Carpenter Technology and Allegheny / ATI were added.** SanDisk's long announcement-to-implementation window created room for front-running and violent flow-driven moves into the close - when an extreme move has a clear mechanical cause, watch for reversion toward fair value.

Takeaway: Short rate-sensitive assets, long gold and inflation winners, long software and health care, selective in Europe and crypto, and unwilling to chase semis - timing decisions off price, volume, volatility and flows rather than narrative.

MOMO TRACKER

Momentum Stock Tracker | 09/01/26 08:19 AM EDT

What: Momentum dashboard. **Mag7 -0.2%**, **High Beta Momo -1.6%**, **SanDisk (SNDK) = BULLISH**, **positive gamma**, **VIX top-of-range 16.28**.

Takeaway: Momentum was still deteriorating but in an orderly way, with positive dealer gamma keeping the tape in “buy weakness” mode - a setup that inverted the following session when SPX broke TRADE and SNDK was cut to NEUTRAL.

SIGNAL STRENGTH STOCKS

Signal Strength Stocks | 09/01/26 11:17 AM EDT

What: Screen fell to **72 stocks**, with **1 added (NEM - Newmont)** and **8 removed**.

Takeaway: The addition of a **gold miner** as eight names dropped out is a clean single-line summary of the rotation: precious metals and defensives gaining signal strength while the broad momentum universe contracts.

CAPITAL ALLOCATION PRO - Daily Dashboard

Capital Allocation Pro | 09/01/26 08:40 AM EDT

Routine Daily Dashboard and Model Portfolio publication ahead of the month-end / month-start changes that took effect on September 2nd.